

SENSE & SENSEX

What to watch out for and factor in your calculations when you see the stock markets spiral



BORROWED GLORY

LEVERAGED INDICES

The rise of the Sensex from 14,000 to 20,000 was driven not just by the India story and FII flows of \$18 bn but also the ramping up of shares, thanks to a valuation race and the rush to raise money through high-priced IPOs. The outstandings of the F&O market were at Rs 1,30,000 crore. When markets started tanking, these retail investors started selling shares instead of coughing up more margin money.

Most HNIs never put their own money upfront but borrow from banks or broking firms, corner a large chunk of the shares and sell on listing day. With the markets tanking, people who borrowed for IPOs lose substantial sums.

THE FII FACTOR

FII inflows account for about a fourth of stocks and contributed to the fall when they pulled out \$2.5 bn last week.

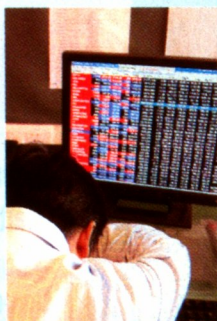


EASY MONEY

Laws and norms are for the bunnies. Companies tied up with NBFCs for funding. Finance companies issued 15-day paper at P1 ratings and sold them to debt mutual funds. The money raised was then used to fund speculation or IPO investments which promised instant returns.

SUBPRIME FEARS

The subprime crisis in the US is serious. When the housing market was booming there, banks sold loans to undeserving or subprime borrowers at higher rates. These loans were parcelled off as high return packets to



willing investors who found themselves holding duds when the housing market tanked. This bad debt is estimated to be over \$100 bn. Now if they are the investors who primed Indian stocks their problem if not fully at least partially is our problem.

THE NEW PE RATIO

The new PE is Price to Entrepreneur ratio. Prices of scrips and new offerings were determined not on fundamentals but on promoters' ability to fund the market.

In less than a week, as the market crashed to a low of 15,333, investors' savings worth over Rs 18,00,000 crore—or what was the total market capitalisation in 2004—were wiped out. Indeed, the crash made the rise of the Sensex over the past year, from 14,000 to 21,000, seem like a rope trick. Protesters gathered outside the BSE office on Dalal Street, and demanded that the three-tonne bronze replica of the bull installed at Green Park in New York be removed. The cause of the crash, they believed, was supernatural, not man-made. As Mumbai-based chartered accountant Bimal Parekh says, "The crash was utterly predictable and virtually inevitable. The only uncertain part was the timing."

The market was abuzz with the valuation

race between the Ambani brothers. If Mukesh Ambani-managed Reliance Petroleum notched a market cap of Rs 1,00,000 crore—plus for his upcoming refinery, Anil Ambani structured an IPO that would—on listing—value his newly-formed Reliance Power at Rs 1,10,000 crore. The exuberance was unmistakable. Companies with revenues of Rs 40 crore boasted of a market cap of Rs 8,000 crore, new banks boasted of 30-plus PE ratios, telecom companies added \$1,000 to their market cap per subscriber with less than a third of earnings, asset management companies with profits of Rs 4 crore raised Rs 5,000 crore, media companies which would cumulatively have profits of less than Rs 1,000 crore had valuations of over Rs 75,000 crore. As valuations propelled large-cap Sensex stocks to stratospheric levels, investors rushed to mid-cap stocks, some of which rose by an astounding 200 per cent in just 10 weeks.

Says Sanjeev Prasad, head of Research Kotak Institutional Broking, "A rally of 40 per cent in four months was not sustainable and it



P. CHIDAMBARAM, FINANCE MINISTER

"The fundamentals of the Indian economy are strong. There is no cause for worry, and investors must stay calm."